

because you and your ex-spouse decide a payment qualifies as alimony does not make it so. You must comply with the tax law that describes a payment as alimony only if:

1. The payment is made in cash (paying bills for the ex-spouse will not qualify)
2. Received pursuant to a divorce decree or separation instrument (including court order)
3. Between members of different households
4. The obligation must cease at the death of the recipient spouse

Other payments to the spouse will be deemed a property settlement and neither deductible to the paying spouse nor included in the recipient spouse's income. Child support payments are treated the same way as the property settlement payments. The spouse entitled to the dependency deduction for the children (\$3,800 per child in 2012) depends on which parent is the primary custodial parent regardless of who furnishes the financial support. However, the primary custodial parent may execute a waiver form to allow the other parent to take the deduction.